

## ■ A Core Trend-Following Strategy

Having combined the two basic trend-following strategies into one, we arrive at something that starts looking more reasonable. The rules we have at this point are still simplified compared to what actual futures traders use, but they do approximate the results close enough. The primary point that I am trying to make here, and really with this entire book, is that the bulk of the returns captured by trend-following futures trading can be explained with very simple rules.

Adding complexity may feel good, giving you the feeling that there is safety in complexity and it makes it harder to replicate. That is not necessarily true. Most of the complex parts for larger funds have to do with execution rules for various markets, volatility control, and risk management. Much of this is of less importance to hobby traders.

So let's take a look at what we have at this point. To recap, here are the rules that we are working with so far.

- Broad universe of futures markets traded, across all major sectors.
- Trading daily.
- Trend is considered bullish if EMA 50 is above EMA 100.
- Trend is considered bearish if EMA 50 is below EMA 100.
- Enter long on new 100-day high, if trend is bullish.
- Enter short on new 100-day low, if trend is bearish.
- Exit long if price falls to 50-day low, or trend turns bearish.
- Exit short if price rises to 50-day high, or if trend turns bullish.
- Position sizing uses 20-day ATR with a target of 15 basis points.

If we make a long-term graph of how this strategy stacks up against the two longest-running funds among our benchmarks, it looks quite striking (Figure 4.9). I would very much advise against drawing too many conclusions at this stage, though. Visual comparisons like this can be highly misleading, and it's remarkably easy to mislead people on purpose with such comparison charts.

A quick look at Figure 4.10 shows a massive outperformance. But again, this does not in itself imply that our core strategy is more attractive than these funds. As I will show you in a moment, it would be exceedingly simple